Commercial Invoice Terms & Overdue Policies

Corporate Finance & Operations Policy Manual | Version 2.4

4.1 Invoice Submission Requirements

Invoices must be submitted electronically to ap@company.com with purchase order (PO) reference numbers clearly stated on the invoice header.

The monthly billing cutoff is the 25th calendar day of each month. Invoices submitted after the 25th are processed in the subsequent month's first cycle.

4.2 Overdue Invoices and Late Fee Structure

Invoices remaining unpaid past their contractual due date (Net 30 or Net 45) will accrue a late interest fee of 2.0% per month (or 24% per annum pro-rata) on the outstanding principal.

Interest charges will only apply if the delay is solely attributable to internal processing and not vendor billing errors.

4.3 Overdue Escalation Workflow

Phase 1 (Day 1 to 14 Overdue): Automated reminder notification generated by ERP and dispatched to vendor relationship manager.

Phase 2 (Day 15 Overdue): Mandatory escalation meeting between Finance Controller and Vendor Account Lead. Accounts Payable freezes new purchase order issuance to the vendor.

Phase 3 (Day 30+ Overdue): Formal dispute review and legal notification protocol activated.

4.4 Three-Way Matching Rule

Payment disbursement requires verification of three documents: Purchase Order (PO), Goods Received Note (GRN) or Service Completion Certificate, and the Vendor Tax Invoice. Discrepancies exceeding 0.5% require re-authorization.